

Cash Flow Ratios						
Sum of Non-cash and non-operating/CGFO	0.07	0.05	0.03	0.07	0.09	0.12
Total Operating Working Capital Changes	-9	-177	-173	-212	5	-145
Total Financing Working Capital Changes	7	37	-4	33	51	172
EBITDA/ CGFO	0.96	1.08	1.10	1.09	0.94	0.95
Current Tax Expense/ Taxes Paid	0.99	1.01	0.87	0.99	0.98	1.08
Sum of						1.036831533

Looking at this number above for different financial years, we see that EBITDA is close to 100 percent of CFO.

EBITDA is almost equal to CFO and the company is generating as much cash as reported in EBITDA. This is thus a healthy sign for the company. There are a lot of companies that show a lot of EBITDA, but that does not translate into cash. **This number must be as close to 100% as possible. If this number is too low continuously, it is generally a red flag.**

Companies in the Income Statement allow for more flexibility and management discretion. However, the flexibility with Cash flow statement is much less. **Therefore, we must match the two and see if the company is generating cash against income.**

Thus, the CFO should closely reflect the profit generated. The ideal scenario is when the EBITDA/ CFO is almost 100 percent. In our example, the company is in a **healthy situation**, as the lowest EBITDA reported was 94.2 percent in FY 2020.



4 Current Tax Expenses/Taxes Paid

This must also be as close to 100 percent as possible.

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Sum of Last 7 years CFO/Sum of last 7 years PAT						1.036831533